

B S R & Associates LLP

Chartered Accountants

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Limited review report on unaudited quarterly consolidated financial results and consolidated year-to-date results under Regulation 33 of the Listing Regulations

To

Board of Directors of Granules India Limited

1. We have reviewed the accompanying Statement of unaudited consolidated financial results of Granules India Limited ("the Parent") and its subsidiaries (the Parent and its subsidiaries together referred to as "the Group") for the quarter ended 30 September 2019 and year to date results for the period from 01 April 2019 to 30 September 2019 and its share of the net profit after tax and total comprehensive income of its associate and joint venture for the year to date results for the period from 01 April 2019 to 30 September 2019 ("the Statement"), being submitted by the Parent pursuant to the requirements of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations').
2. This Statement, which is the responsibility of the Parent's management and approved by the Parent's Board of Directors, has been prepared in accordance with the recognition and measurement principles laid down in Indian Accounting Standard 34 "Interim Financial Reporting" ("Ind AS 34"), prescribed under Section 133 of the Companies Act, 2013, and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. Our responsibility is to express a conclusion on the Statement based on our review.
3. We conducted our review of the Statement in accordance with the Standard on Review Engagements (SRE) 2410 "Review of Interim Financial Information Performed by the Independent Auditor of the Entity", issued by the Institute of Chartered Accountants of India. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

We also performed procedures in accordance with the circular issued by the SEBI under Regulation 33 (8) of the Listing Regulations, to the extent applicable.

4. The Statement includes the results of the following entities:

Name of the entity	Relationship
Granules USA Inc.	Wholly owned subsidiary
Granules Pharmaceutical Inc.	Wholly owned subsidiary
Granules Europe Limited	Wholly owned subsidiary
Granules-Bioclause Pharmaceutical Co. Ltd.	Associate
Granules Omnicem Private Limited	Joint venture

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Limited review report on unaudited quarterly consolidated financial results and consolidated year-to-date results under Regulation 33 of the Listing Regulations (continued)

5. Based on our review conducted and procedures performed as stated in paragraph 3 above and based on the consideration of the review reports of other auditors referred to in paragraph 6 below, nothing has come to our attention that causes us to believe that the accompanying Statement, prepared in accordance with the recognition and measurement principles laid down in the aforesaid Indian Accounting Standard and other accounting principles generally accepted in India, has not disclosed the information required to be disclosed in terms of Regulation 33 of the Listing Regulations, including the manner in which it is to be disclosed, or that it contains any material misstatement.
6. We did not review the interim financial information of two subsidiaries included in the Statement, whose interim financial information reflect total assets of Rs. 86,037.46 lakhs as at 30 September 2019 and total revenues of Rs. 15,511.51 lakhs and Rs. 29,226.09 lakhs, total net profit after tax of Rs. 489.73 lakhs and Rs. 1,168.81 lakhs and total comprehensive income of Rs. 1,351.71 lakhs and Rs. 1,910.18 lakhs, for the quarter ended 30 September 2019 and for the period from 01 April 2019 to 30 September 2019, respectively, and net cash outflows of Rs. 1,831.40 lakhs for the period from 01 April 2019 to 30 September 2019, as considered in the consolidated unaudited financial results. The consolidated unaudited financial results also includes the Group's share of net profit after tax of Rs. 3,009.47 lakhs and total comprehensive income of Rs.2,646.21 lakhs for the period from 01 April 2019 to 30 September 2019, respectively, as considered in the Statement, in respect of an associate, whose interim financial information have not been reviewed by us. These interim financial information have been reviewed by other auditors whose reports have been furnished to us by the management and our conclusion on the Statement, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries and associate, is based solely on the reports of the other auditors and the procedures performed by us as stated in paragraph 3 above.

Our conclusion on the Statement is not modified in respect of the above matter.



Limited review report on unaudited quarterly consolidated financial results and consolidated year-to-date results under Regulation 33 of the Listing Regulations (continued)

7. The Statement includes the interim financial information of a subsidiary which have not been reviewed, whose interim financial information reflect total assets of Rs. 85.20 lakhs as at 30 September 2019 and total revenue of Rs. Nil and Rs. Nil, total net loss after tax of Rs. 53.81 lakhs and Rs. 112.66 lakhs and total comprehensive loss of Rs. 51.22 lakhs and Rs.91.22 lakhs for the quarter ended 30 September 2019 and for the period from 01 April 2019 to 30 September 2019, respectively, and net cash inflows net of Rs. 67.72 lakhs for the period from 01 April 2019 to 30 September 2019, as considered in the Statement. The Statement also includes the Group's share of net loss after tax of Rs. 460.39 lakhs and total comprehensive loss of Rs. 460.39 lakhs for the period from 01 April 2019 to 30 September 2019, respectively, as considered in the consolidated unaudited financial results, in respect of a joint venture, based on their interim financial information which have not been reviewed. According to the information and explanations given to us by the management, these interim financial information are not material to the Group.

Our conclusion on the Statement is not modified in respect of the above matter.

For **B S R & Associates LLP**

Chartered Accountants

ICAI Firm Registration No.: 116231W/ W-100024



Sriram Mahalingam

Partner

Membership No.: 049642

UDIN: 19049642AAAADM2700

Place: Hyderabad

Date: 22 October 2019



GRANULES INDIA LIMITED
Regd Office : 2nd Floor, 3rd Block, My Home Hub
Madhapur, Hyderabad 500 081
CIN:L24110TG1991PLC012471

Rs in lakhs

Statement of Consolidated Unaudited Results for the quarter and half-year ended September 30, 2019

Sl No.	Particulars	Quarter ended			Half-year ended		Year ended
		30.09.2019	30.06.2019	30.09.2018	30.09.2019	30.09.2018	31.03.2019
		Un-Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Audited
	Income						
1	Revenue from operations	69,953.39	59,527.28	58,086.68	129,480.67	103,410.38	227,919.77
2	Other income	867.13	185.47	418.14	1,052.60	1,892.44	2,668.26
3	Total income (1+2)	70,820.52	59,712.75	58,504.82	130,533.27	105,302.82	230,588.03
	Expenses						
(a)	Cost of materials consumed	34,801.79	32,587.19	34,261.66	67,388.98	64,367.03	133,897.31
(b)	Changes in inventories of work in progress and finished goods	1,137.30	(3,042.46)	(2,490.24)	(1,905.16)	(7,881.72)	(8,341.09)
(c)	Employee benefits expense	6,344.15	5,702.98	5,459.83	12,047.13	10,485.30	20,982.44
(d)	Finance costs	685.49	686.99	759.90	1,372.48	1,413.96	2,846.07
(e)	Depreciation and amortisation expense	3,031.94	2,866.97	2,652.78	5,898.91	5,105.60	10,548.34
(f)	Other expenses	13,309.90	12,417.54	10,802.39	25,727.44	19,126.90	42,977.34
	Total expenses	59,310.57	51,219.21	51,446.32	110,529.78	92,617.07	202,910.41
	Profit before share of profit from joint venture & associate, exceptional items and tax (3-4)	11,509.95	8,493.54	7,058.50	20,003.49	12,685.75	27,677.62
5	Share of profit of joint venture and associate, net of tax [refer note 8(a) & 8(b)]	-	2,549.09	1,302.83	2,549.09	2,766.05	4,874.32
6	Profit before exceptional items and tax (5+6)	11,509.95	11,042.63	8,361.33	22,552.58	15,451.80	32,551.94
7	Exceptional items	-	-	-	-	-	-
8	Profit before tax (7-8)	11,509.95	11,042.63	8,361.33	22,552.58	15,451.80	32,551.94
9	Tax expense						
a)	Current tax	2,682.36	3,042.45	2,257.63	5,724.81	4,399.09	8,192.27
b)	Deferred tax	(751.71)	(324.01)	77.64	(1,075.72)	(152.91)	718.82
	Total tax expense	1,930.65	2,718.44	2,335.27	4,649.09	4,246.18	8,911.09
10	Profit for the period (9-10)	9,579.30	8,324.19	6,026.06	17,903.49	11,205.62	23,640.85
11	Other comprehensive income (net of tax)						
(a)	(i) items that will not be reclassified to profit or loss	-	-	-	-	-	(105.56)
	(ii) income tax on (i) above	-	-	-	-	-	36.66
(b)	(i) items that will be reclassified to profit or loss	1,871.13	(941.18)	(91.96)	929.95	355.99	2,099.81
	(ii) income tax on (i) above	(547.50)	197.07	1,042.76	(350.43)	877.14	(728.48)
	Total other comprehensive income, net of tax	1,323.63	(744.11)	950.80	579.52	1,233.13	1,302.43
12	Total comprehensive income for the period (11+12)	10,902.93	7,580.08	6,976.86	18,483.01	12,438.75	24,943.28
13	Paid-up equity share capital (Face Value of Rs.1/- per share)	2,542.48	2,542.48	2,541.73	2,542.48	2,541.73	2,542.48
14	Other equity						150,404.83
15	Earnings per share (Face value Rs. 1/- each) (not annualised)						
(a)	Basic (in Rs.)	3.77	3.27	2.37	7.04	4.41	9.30
(b)	Diluted (in Rs.)	3.76	3.27	2.36	7.03	4.40	9.28



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Consolidated Statement of Assets and Liabilities :			
SL.No.	Particulars	As at September 30, 2019	As at March 31, 2019
		Un-Audited	Audited
I	ASSETS		
	Non-current assets		
	a) Property, plant and equipment	74,154.14	74,755.69
	b) Capital work-in-progress	35,052.51	32,349.96
	c) Other intangible assets	20,787.87	19,669.12
	d) Intangible assets under development	18,013.41	17,245.19
	e) Financial assets		
	i) Investments	3,938.19	21,042.07
	ii) Loans	1,880.56	1,692.61
	f) Deferred tax assets	385.73	422.70
	g) Non-current tax assets (net)	93.31	169.26
	h) Other non-current assets	5,588.91	2,710.55
	Total non-current assets	159,894.63	170,057.15
	Current assets		
	a) Inventories	38,063.49	38,421.25
	b) Financial assets		
	i) Trade receivables	77,826.47	67,354.24
	ii) Cash and cash equivalents	10,112.94	8,302.43
	iii) Bank balances other than cash and cash equivalents above	601.73	601.59
	iv) Loans	328.80	315.43
	v) Other financial assets	97.58	51.68
	c) Other current assets	10,856.92	13,177.55
		137,887.93	128,224.17
	d) Assets held for sale [refer note 8(a) & 8(b)]	19,372.94	-
	Total current assets	157,260.87	128,224.17
	TOTAL ASSETS	317,155.50	298,281.32
II	EQUITY AND LIABILITIES		
	Equity		
	a) Equity share capital	2,542.48	2,542.48
	b) Other equity	167,534.17	150,404.83
	Total equity	170,076.65	152,947.31
	Liabilities		
	Non-current liabilities		
	a) Financial liabilities		
	i) Borrowings	43,673.42	47,878.25
	b) Provisions	1,646.21	1,258.07
	c) Deferred tax liabilities (net)	5,799.56	6,549.49
	Total non-current liabilities	51,119.19	55,685.81
	Current liabilities		
	a) Financial liabilities		
	i) Borrowings	40,304.21	45,420.61
	ii) Trade payables		
	(a) Total outstanding dues of micro enterprises and small enterprises	205.36	371.45
	(b) Total outstanding dues of creditors other than micro enterprises and small enterprises	39,073.42	31,976.29
	iii) Other financial liabilities	13,213.20	10,194.84
	b) Other current liabilities	1,490.01	1,165.44
	c) Provisions	433.83	433.83
	d) Current tax liabilities (net)	1,239.63	85.74
	Total current liabilities	95,959.66	89,648.20
	Total liabilities	147,078.85	145,334.01
	TOTAL EQUITY AND LIABILITIES	317,155.50	298,281.32



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Unaudited consolidated statement of Cash flows for the six months ended September 30, 2019			Rs in lakhs	
			Six months ended September 30, 2019	Six months ended September 30, 2018
			Un-Audited	Un-Audited
Cash flow from operating activities				
Profit before tax			22,552.58	15,451.80
<i>Adjustments to reconcile profit before tax to net cash flows</i>				
Depreciation and amortisation expense			5,898.91	5,105.60
Bad debts written off			1.09	(31.17)
Allowance for doubtful trade receivables			521.93	500.00
Share of profit from joint venture and associate			(2,549.09)	(2,766.05)
Loss on sale of assets (net)			22.60	-
Net loss/(gain) on foreign exchange fluctuations (unrealised)			(736.30)	37.91
Share based payment expense			44.39	90.00
Interest expense			1,372.48	1,413.96
Interest income			(220.05)	(473.25)
Operating profit before working capital changes			26,908.54	19,328.80
Exchange differences on translation of foreign operations			1,041.26	2,722.28
<i>Movements in working capital:</i>				
Increase in trade receivables			(9,875.73)	(3,342.33)
Decrease/(increase) in inventories			357.76	(10,892.91)
Decrease in other assets			2,036.06	2,359.18
Increase in trade payables, other liabilities and provisions			6,486.30	5,729.24
Cash generated from operations			26,954.19	15,904.26
Taxes paid (net of refunds)			(4,482.65)	(4,352.88)
Net cash generated from operating activities	(A)		22,471.54	11,551.38
Cash flow from investing activities				
Purchase of fixed assets including capital work-in-progress, capital advances and payables for capital goods			(11,573.46)	(17,877.82)
Proceeds from sale of fixed assets			17.14	-
Placement of bank deposits			-	(5.28)
Interest received			174.15	480.60
Net cash used in investing activities	(B)		(11,382.17)	(17,402.50)
Cash flow from financing activities				
Proceeds from issuance of shares			-	88.72
Proceeds from borrowings			-	12,631.29
Repayment of borrowings			(1,017.40)	(1,105.32)
(Repayment)/proceeds of short-term borrowings, net			(5,343.32)	(2,534.44)
Interest paid			(1,385.60)	(1,308.63)
Dividend paid on equity shares including tax thereon			(1,532.54)	(1,531.61)
Net cash (used in)/generated from financing activities	(C)		(9,278.86)	6,240.01
Net increase in cash and cash equivalents	(A+B+C)		1,810.51	388.89
Cash and cash equivalents at the beginning of the period			8,302.43	10,803.28
Cash and cash equivalents at the end of the period			10,112.94	11,192.17

Note: The above Statement of Cash flow has been prepared under the 'Indirect Method' as set out in Ind AS 7, 'Statement of Cash Flows'

Notes:

- The above consolidated unaudited financial results for the quarter and half-year ended September 30, 2019 have been reviewed by the Audit Committee on October 22, 2019 and approved by the Board of Directors at their meeting held on October 22, 2019.
- The consolidated unaudited financial results of the Company have been prepared in accordance with the Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 ("the Act") read with relevant rules issued thereunder ("Ind AS") and other accounting principles generally accepted in India and in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- The Auditors of the Company have carried out Limited Review of the financial results for the quarter and half year ended September 30, 2019.
- The subsidiaries, joint venture and associate companies considered for the consolidated financial statements as on September 30, 2019 are Granules USA Inc., Granules Pharmaceuticals Inc., Granules Europe Limited (together known as "Subsidiaries") and Hubei Granules Biocause Pharmaceutical Co. Ltd.(known as "associate") and Granules Omnichem Pvt Ltd (known as "joint venture").
- Effective from April 1, 2019, the Group has adopted Ind AS 116 – Leases using modified retrospective method. This has resulted in recognizing right of use assets and lease liability as on April 1, 2019. The adoption of the standard did not have any material impact to the unaudited financial results.
- The Group operates in one reportable business segment of Pharmaceutical products including ingredients and intermediaries.
- The Company elected to exercise the option permitted under section 115BAA of the Income-tax Act, 1961 as introduced by the Taxation Laws (Amendment) Ordinance, 2019. Accordingly, the Company has recognised provision for income tax for the six months ended September 30, 2019 and remeasured its deferred tax liabilities basis the rates prescribed in the said section.
- a) During the quarter, the Company has announced its intention to divest the entire stake in Granules OmniChem Private Limited. The Investment in Joint venture is presented as held for sale in the unaudited financial statements for the period ended September 30, 2019.
b) On October 14 2019, the Company has announced its intention to divest the entire stake in Granules-Biocause Pharmaceutical Co. Ltd, an overseas Associate Company situated in China. The Investment in Associate is presented as held for sale in the unaudited financial statements for the period ended September 30, 2019. The company is yet to enter into definitive agreement for the stake sale.
- The Board of Directors at their meeting held on October 22, 2019 has declared second interim dividend of 25 paise per equity share of Rs.1/- each.
- The figures for the corresponding previous periods have been restated/regrouped wherever necessary, to make them comparable.
- Standalone results for the quarter / year ended are as under -

Particulars	Quarter ended			Half-year ended			Rs in lakhs
	30.09.2019	30.06.2019	30.09.2018	30.09.2019	30.09.2018	31.03.2019	
	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Audited	
Revenue from Operations	63,876.64	56,784.79	51,594.32	120,661.43	95,628.23	209,843.26	
Profit Before Tax	11,298.65	8,807.52	6,161.60	20,106.17	12,088.69	24,170.68	
Profit After Tax	9,431.85	5,953.18	4,082.04	15,385.03	8,038.96	16,184.05	

Place : Hyderabad
Date : October 22, 2019



FOR IDENTIFICATION ONLY

for and on behalf of the Board
Krishna Prasad Chigurupati
Krishna Prasad Chigurupati
Chairman and Managing Director

B S R & Associates LLP

Chartered Accountants

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Limited review report on unaudited quarterly standalone financial results and standalone year-to-date results under Regulation 33 of the Listing Regulations.

To
Board of Directors of Granules India Limited

1. We have reviewed the accompanying Statement of unaudited standalone financial results of Granules India Limited ('the Company') for the quarter ended 30 September 2019 and year to date results for the period from 01 April 2019 to 30 September 2019 to ("the Statement").
2. This Statement, which is the responsibility of the Company's management and approved by the Board of Directors, has been prepared in accordance with the recognition and measurement principles laid down in Indian Accounting Standard 34 "*Interim Financial Reporting*" ("Ind AS 34"), prescribed under Section 133 of the Companies Act, 2013, and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. Our responsibility is to issue a report on the Statement based on our review.
3. We conducted our review of the Statement in accordance with the Standard on Review Engagements (SRE) 2410 "*Review of Interim Financial Information Performed by the Independent Auditor of the Entity*" issued by the Institute of Chartered Accountants of India. This standard requires that we plan and perform the review to obtain moderate assurance as to whether the Statement is free of material misstatement. A review is limited primarily to inquiries of company personnel and analytical procedures applied to financial data and thus provides less assurance than an audit. We have not performed an audit and accordingly, we do not express an audit opinion.
4. Based on our review conducted as above, nothing has come to our attention that causes us to believe that the accompanying Statement, prepared in accordance with applicable accounting standards and other recognised accounting practices and policies has not disclosed the information required to be disclosed in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 including the manner in which it is to be disclosed, or that it contains any material misstatement.

For B S R & Associates LLP
Chartered Accountants
ICAI Firm Registration No.: 116231W/ W-100024



Sriram Mahalingam
Partner
Membership No.: 049642
UDIN: 19049642AAAADL9271

Place: Hyderabad
Date: 22 October 2019



GRANULES INDIA LIMITED
Regd Office : 2nd Floor, 3rd Block, My Home Hub
Madhapur, Hyderabad 500 081
CIN:L24110TG1991PLC012471

Rs in lakhs

Statement of Standalone Unaudited Results for the quarter and half-year ended September 30, 2019

Sl No.	Particulars	Quarter ended			Half-year ended		Year ended
		30.09.2019	30.06.2019	30.09.2018	30.09.2019	30.09.2018	31.03.2019
		Un-Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Audited
	Income						
1	Revenue from operations	63,876.64	56,784.79	51,594.32	120,661.43	95,628.23	209,843.26
2	Other income	438.03	151.37	345.74	589.40	2,147.55	2,848.91
3	Total income (1+2)	64,314.67	56,936.16	51,940.06	121,250.83	97,775.78	212,692.17
	Expenses						
4	(a) Cost of materials consumed	33,173.05	31,140.48	33,706.37	64,313.53	63,147.10	131,733.38
	(b) Changes in inventories of work in progress and finished goods	1,198.51	(847.98)	(3,675.05)	350.53	(7,773.14)	(6,701.53)
	(c) Employee benefits expense	4,688.97	4,576.85	4,140.64	9,265.82	8,285.43	16,699.57
	(d) Finance costs	669.91	680.02	759.14	1,349.93	1,411.49	2,836.02
	(e) Depreciation and amortisation expense	2,499.75	2,525.50	2,264.72	5,025.25	4,451.81	9,077.21
	(f) Other expenses	10,785.83	10,053.77	8,582.64	20,839.60	16,164.40	34,876.84
	Total expenses	53,016.02	48,128.64	45,778.46	101,144.66	85,687.09	188,521.49
5	Profit before exceptional items and tax (3-4)	11,298.65	8,807.52	6,161.60	20,106.17	12,088.69	24,170.68
6	Exceptional items	-	-	-	-	-	-
7	Profit before tax (5-6)	11,298.65	8,807.52	6,161.60	20,106.17	12,088.69	24,170.68
8	Tax expense						
	a) Current tax	2,687.53	3,025.39	2,257.63	5,712.92	4,399.09	8,192.27
	b) Deferred tax	(820.73)	(171.05)	(178.07)	(991.78)	(349.36)	(205.64)
	Total tax expense	1,866.80	2,854.34	2,079.56	4,721.14	4,049.73	7,986.63
9	Profit for the period (7-8)	9,431.85	5,953.18	4,082.04	15,385.03	8,038.96	16,184.05
10	Other comprehensive income (net of tax)						
	(a) (i) items that will not be reclassified to profit or loss	-	-	-	-	-	(104.92)
	(ii) income tax on (i) above	-	-	-	-	-	36.66
	(b) (i) items that will be reclassified to profit or loss	669.50	(429.00)	(2,984.09)	240.50	(2,510.13)	1,870.87
	(ii) income tax on (i) above	(210.44)	149.91	1,042.76	(60.53)	877.14	(653.76)
	Total other comprehensive income, net of tax	459.06	(279.09)	(1,941.33)	179.97	(1,632.99)	1,148.85
11	Total comprehensive income for the period (9+10)	9,890.91	5,674.09	2,140.71	15,565.00	6,405.97	17,332.90
12	Paid-up equity share capital (Face Value of Rs.1/- per share)	2,542.48	2,542.48	2,541.73	2,542.48	2,541.73	2,542.48
13	Other equity						139,781.03
14	Earnings per share (Face value Rs. 1/- each) (not annualised)						
	(a) Basic (in Rs.)	3.71	2.34	1.61	6.05	3.17	6.37
	(b) Diluted (in Rs.)	3.71	2.34	1.60	6.04	3.16	6.35



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Standalone statement of Assets and Liabilities :		Rs in lakhs	
Sl. No.	Particulars	As at September 30, 2019	As at March 31, 2019
		Un-Audited	Audited
I	ASSETS		
	Non-current assets		
	a) Property, plant and equipment	62,539.00	63,265.57
	b) Capital work-in-progress	33,305.33	30,874.48
	c) Other intangible assets	6,292.13	6,729.41
	d) Intangible assets under development	3,092.77	2,428.38
	e) Financial assets		
	i) Investments	44,539.17	50,646.30
	ii) Loans	10,987.80	6,545.08
	f) Other non-current assets	1,555.40	1,056.93
	Total non-current assets	162,311.60	161,546.15
	Current assets		
	a) Inventories	28,744.72	31,413.51
	b) Financial assets		
	i) Trade receivables	78,252.45	70,420.94
	ii) Cash and cash equivalents	9,216.23	5,642.03
	iii) Bank balances other than cash and cash equivalents above	601.73	601.59
	iv) Loans	45.26	49.10
	v) Other financial assets	43.58	34.07
	c) Other current assets	10,453.37	12,729.67
		127,357.34	120,890.91
	d) Assets held for sale (refer note 6(a) & 6(b))	6,107.13	-
	Total current assets	133,464.47	120,890.91
	TOTAL ASSETS	295,776.07	282,437.06
II	EQUITY AND LIABILITIES		
	Equity		
	a) Equity share capital	2,542.48	2,542.48
	b) Other equity	153,813.49	139,781.03
	Total equity	156,355.97	142,323.51
	Liabilities		
	Non-current liabilities		
	a) Financial liabilities		
	i) Borrowings	43,587.02	47,878.25
	b) Provisions	1,646.21	1,258.07
	c) Deferred tax liabilities (net)	5,762.00	6,693.25
	Total non-current liabilities	50,995.23	55,829.57
	Current liabilities		
	a) Financial liabilities		
	i) Borrowings	40,304.21	45,420.61
	ii) Trade payables		
	(a) Total outstanding dues of micro enterprises and small enterprises	205.36	371.45
	(b) Total outstanding dues of creditors other than micro enterprises and small enterprises	31,995.71	27,317.78
	iii) Other financial liabilities	12,771.21	9,631.22
	b) Other current liabilities	1,451.56	1,023.35
	c) Provisions	433.83	433.83
	d) Current tax liabilities (net)	1,262.99	85.74
	Total current liabilities	88,424.87	84,283.98
	Total liabilities	139,420.10	140,113.55
	TOTAL EQUITY AND LIABILITIES	295,776.07	282,437.06



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Unaudited standalone statement of Cash flows for the six months ended September 30, 2019		
	Rs in lakhs	
	Six months ended September 30, 2019	Six months ended September 30, 2018
	Un-Audited	Un-Audited
Cash flow from operating activities		
Profit before tax	20,106.17	12,088.69
<i>Adjustments to reconcile profit before tax to net cash flows</i>		
Depreciation and amortisation expense	5,025.25	4,451.81
Allowance for doubtful trade receivables	521.93	500.00
Loss on sale of assets (net)	22.60	-
Net loss/(gain) on foreign exchange fluctuations (unrealised)	(844.03)	17.92
Share based compensation expense	-	90.00
Interest expense	1,349.93	1,411.49
Interest income	(327.00)	(895.27)
Operating profit before working capital changes	25,854.85	17,664.64
<i>Movements in working capital:</i>		
Increase in trade receivables	(7,233.92)	579.77
Decrease/(increase) in inventories	2,668.79	(10,545.14)
Decrease in other assets	2,083.11	3,169.12
Increase in trade payables, other liabilities and provisions	4,263.11	3,374.75
Cash generated from operations	27,635.94	14,243.14
Taxes paid (net of refunds)	(4,535.67)	(4,166.52)
Net cash generated from operating activities	(A) 23,100.27	10,076.62
Cash flow from investing activities		
Purchase of fixed assets including capital work-in-progress, capital advances and payables for capital goods	(6,466.43)	(10,429.90)
Proceeds from sale of fixed assets	17.14	0.25
Placement of bank deposits	-	(5.28)
Loans given to subsidiaries	(3,995.16)	(6,481.53)
Interest received	174.69	438.11
Net cash used in investing Activities	(B) (10,269.76)	(16,478.35)
Cash flow from financing activities		
Proceeds from issuance of shares	-	88.73
Proceeds from borrowings	-	12,631.29
Repayment of borrowings	(1,017.40)	(1,105.32)
(Repayment)/proceeds of short-term borrowings, net	(5,343.32)	(2,534.44)
Interest paid	(1,363.05)	(1,306.16)
Dividend paid on equity shares including tax thereon	(1,532.54)	(1,531.61)
Net cash (used in)/generated from financing activities	(C) (9,256.31)	6,242.49
Net increase/(decrease) in cash and cash equivalents	(A+B+C) 3,574.20	(159.24)
Cash and cash equivalents at the beginning of the period	5,642.03	8,980.94
Cash and cash equivalents at the end of the period	9,216.23	8,821.70

Note: The above Statement of Cash flow has been prepared under the 'Indirect Method' as set out in Ind AS 7, 'Statement of Cash Flows'

Notes:

- The above standalone unaudited financial results for the quarter and half-year ended September 30, 2019 have been reviewed by the Audit Committee on October 22, 2019 and approved by the Board of Directors at their meeting held on October 22, 2019.
- The standalone unaudited financial results of the Company have been prepared in accordance with the Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 ("the Act") read with relevant rules issued thereunder ("Ind AS") and other accounting principles generally accepted in India and in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- The Auditors of the Company have carried out Limited Review of the financial results for the quarter and half year ended September 30, 2019.
- Effective from April 1, 2019, the Company has adopted Ind AS 116 – Leases using modified retrospective method. This has resulted in recognizing right of use assets and lease liability as on April 1, 2019. The adoption of the standard did not have any material impact to the unaudited financial results.
- The Company elected to exercise the option permitted under section 115BAA of the Income-tax Act, 1961 as introduced by the Taxation Laws (Amendment) Ordinance, 2019. Accordingly, the Company has recognised provision for income tax for the six months ended September 30, 2019 and remeasured its deferred tax liabilities basis the rates prescribed in the said section.
- a) During the quarter, the Company has announced its intention to divest the entire stake in Granules OmniChem Private Limited. The Investment in Joint venture is presented as held for sale in the unaudited financials statements for the period ended September 30, 2019.
b) On October 14 2019, the Company has announced its intention to divest the entire stake in Granules-Bioclause Pharmaceutical Co. Ltd, an overseas Associate Company situated in China. The Investment in Associate is presented as held for sale in the unaudited financial statements for the period ended September 30, 2019. The company is yet to enter into definitive agreement for the stake sale.
- The Company operates in one reportable business segment of Pharmaceutical products including ingredients and intermediaries.
- The Board of Directors at their meeting held on October 22, 2019 has declared second interim dividend of 25 paise per equity share of Rs.1/- each.
- The figures for the corresponding previous periods have been restated/regrouped wherever necessary, to make them comparable.

Place : Hyderabad
Date : October 22, 2019



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for and on behalf of the Board

Krishna Prasad Chigurupati
Chairman and Managing Director